HIGHLIGHTS FOR FY25

CM Siddaramaiah walks the tightrope between allocations for Congress's poll guarantees and investment for development projects

WELFARE SCHEMES

₹52,009 cr

Allocation for FY25 for five welfare schemes guaranteed by Congress before assembly polls

₹28,608 cr
GRUHA LAKSHMI
A scheme that provides ₹2,000 monthly allowance for women

₹9,657 cr
GRUHA JYOTHI
To supply free electricity up to 200 units per household

₹8,079 cr
ANNA BHAGYA
Under which an extra 5 kg of rice is provided to ration card holders

₹5,015 cr
SHAKTI
Karnataka govt's free bus travel scheme for women

₹650 cr
YUVA NIDHI
Unemployment allowance for degree and diploma holders

CAPITAL EXPENDITURE

₹55,877 Cr

Allocation for capex for FY25

BIG PROJECTS

₹27,000 cr	Estimated cost of 73 km Bengaluru Business Corridor to be constructed under PPP model
₹3,048 cr	Estimated project cost of Pavinakurve mega port in Uttara Kannada district, again in PPP
₹5,736 cr	Estimated project cost of 875 km state highway development, with external assistance
₹5,200 cr	Pragati Path scheme, to develop network of 9,450 km rural roads, with external assistance
₹1,000 cr	Kalyana Path scheme, for 1,150 km roads on the lines of Pradhan Mantri Gram Sadak Yojana

ESTIMATED FISCAL DEFICIT

2.95% of GSDP (within the 3% limit)

Sources: Karnataka finance department, budget documents
Note: A few figures have been rounded off

bus travel for women) and Yuva Nidhi (unemployment allowance for graduates and diploma holders). Last July, when Siddaramaiah presented a mid-year budget, he had set aside about 15 per cent of revenue expenditure, or Rs 36,858 crore, for the five guarantees. Now, for the full year, the Rs 52,009 crore allocation under these heads amounts to 18 per cent of revenue expenditure. The annual bill on guarantees is expected to stabilise at this level from here on, explains a senior state government official.

Since the Covid years, Karnataka's revenue from state taxes has rebounded and, as Siddaramaiah has pointed out, it currently ranks as the second biggest contributor to GST after Maharashtra. But the current fiscal, beset by a severe drought, has proved to be a dampener for the high tax collection targets set by the government last year. For additional resources, the government's fiscal policy strategy is eyeing four focus areas—besides improving tax efficiency and reviewing major non-tax revenue sources, it is looking at rationalising expenditure and fast-tracking asset monetisation to attract investments, according to Karnataka's Medium Term Fiscal Plan (MTFP) 2024-28.

The budget announced six infrastructure projects related to roads, metro rail and ports, which will be taken up via the public-private partnership (PPP) model. "An interim review of the existing PPP Policy-2018 will be carried out so as to facilitate greater private investment in this sector," the CM said in his budget speech. Meanwhile, an expert committee to analyse the potential for asset monetisation is also being set up. "They are now able to go beyond the guarantees which they were stymied by in the first six months. Clearly, they are finding other sources," says urbanist V. Ravichandar. As examples, he cites the property tax collection drive by the Bruhat Bengaluru Mahanagara Palike—the state capital's civic authority—and the move to digitise property tax records.

The Karnataka MTFP 2024-28 says that in a business-as-usual case, the state is expected to progressively reduce its revenue deficit in two years and make a crossover to revenue surplus by 2027-28. But challenges loom—the MTFP notes that non-scheme committed expenditure, which comprises salaries, pensions, interest payments and administrative expenses, has been rising steeply year-on-year, from 48 per cent in 2022-23 to 61 per cent in the 2024-25 budget estimates. Karnataka is also due a pay revision for government employees—this could add another Rs 15,000-20,000 crore annually to the wage bill when implemented. ■